

Vinson&Elkins

EnCap Fund XII Structure

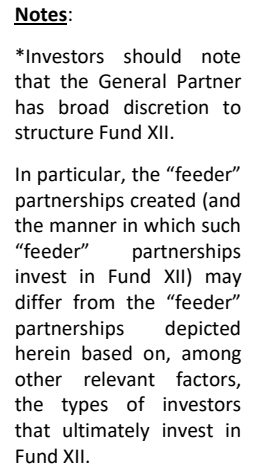
February 10, 2022

EnCap Fund XII

Glossary

Confidential
Sam Sam
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Abbreviated Term	Full Term	Jurisdiction (If relevant)
Fund GP	EnCap Equity Fund XII GP, L.P.	Delaware
Fund XII	EnCap Energy Capital Fund XII, L.P.	Delaware
B Feeder	EnCap Energy Capital Fund XII-B, L.P.	Delaware
C Feeder	EnCap Energy Capital Fund XII-C, L.P.	Cayman Islands (Exempted Limited Partnership)
C Feeder Blocker	EnCap Energy Fund XII-C Feeder Blocker, L.P.	Cayman Islands (Exempted Limited Partnership)
Feeder Blocker	EnCap Energy Fund XII Feeder Blocker, L.P.	Delaware
Related LP	EnCap Investments L.P.	Delaware
UBTI	Unrelated Business Taxable Income	N/A
ECI	Effectively Connected Income	N/A
CAI	Commercial Activity Income	N/A
FIRPTA	Foreign Investment in Real Property Tax Act of 1980	N/A



Notes to Fund Structure

- [1] Fund GP is the general partner of Fund XII. The Taxable & UBTI Insensitive Tax-Exempt Investors, Feeder Blocker, and Treaty Direct Foreign Investors are the limited partners of Fund XII.
- [2] Fund GP is the general partner of B Feeder and C Feeder. UBTI Sensitive Tax-Exempt Investors and sovereign wealth funds are the limited partners of B Feeder, and ECI Sensitive Foreign Investors are the limited partners of C Feeder.
- [3] C Feeder is the limited partner, and Fund GP is the general partner, of C Feeder Blocker; however, Fund GP has no economic interest in C Feeder Blocker. C Feeder Blocker and B Feeder are the limited partners, and Fund GP is the general partner, of Feeder Blocker; however, Fund GP has no economic interest in Feeder Blocker.
- [4] Fund XII is expected to make and hold all investments (unless, for legal, tax or regulatory reasons, Fund GP determines it is in the best interest of Fund XII that some or all of the partners make an investment through an Alternative Investment Vehicle (as defined in the draft Amended and Restated Agreement of Limited Partnership of Fund XII)).
- [5] The Taxable & UBTI Insensitive Tax-Exempt Investors, and Treaty Direct Foreign Investors are expected to fund their respective allocable shares of capital in respect of investments made by Fund XII and to receive their respective allocable shares of Fund XII's profits, losses and distributions attributable to such investments directly with Fund XII and not through any feeder vehicle.
- [6] When Fund XII makes an investment, (i) B Feeder is expected to participate indirectly through Feeder Blocker (i.e., B Feeder is expected to loan and contribute capital to Feeder Blocker, which is expected to contribute such capital to Fund XII), and (ii) C Feeder is expected to participate indirectly through C Feeder Blocker and Feeder Blocker (i.e., C Feeder is expected to contribute capital to C Feeder Blocker and loan capital to Feeder Blocker, C Feeder Blocker is expected to further contribute capital to Feeder Blocker, and Feeder Blocker is expected to contribute such capital to Fund XII), and, in each case, Feeder Blocker is expected to receive its allocable share of Fund XII's profits, losses and distributions attributable to such investment. All investment capital in respect of Fund B and Fund C is expected to be contributed by Feeder Blocker to Fund XII directly.
- [7] If Fund XII makes an investment that is not expected to give rise to UBTI, ECI or CAI, Fund GP may, but is not required to, determine that some or all of the partners make such investment through an Alternative Investment Vehicle.
- [8] After payment of taxes and expenses, Feeder Blocker is expected to pay debt due and owing to B Feeder and C Feeder and make dividend payments (or other distributions) to B Feeder and C Feeder Blocker (which is expected to, in turn, then make dividend payments (or other distributions) to C Feeder).
- [9] Nominee corporation(s) will be formed as part of the portfolio company structures and will hold, as agent(s), record title to the federal leases of Fund XII from the Bureau of Land Management.
- [10] The amount ultimately received by B Feeder and C Feeder with respect to investments (and, in respect of C Feeder, C Feeder Blocker) will be reduced for payment of taxes, expenses, etc. of such entities.
- [11] C Feeder Blocker will be interposed between C Feeder and Feeder Blocker, as investments are generally anticipated to be subject to FIRPTA rules.
- [12] Related LP is the entity through which EnCap holds its capital interest in Fund XII.